

REVIEW ESSAY

Neoliberalism and Its Hegemonic Crisis

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Melinda Cooper, *Counterrevolution: Extravagance and Austerity in Public Finance* (New York: Zone Books, 2024)

Tehila Sasson, *The Solidarity Economy: Nonprofits and the Making of Neoliberalism after Empire* (Princeton: Princeton University Press, 2024)

Jennifer Burns, *Milton Friedman: The Last Conservative* (New York: Farrar, Straus and Giroux, 2023)
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The recent resurgence of exclusionary nationalism across the advanced capitalist world has caused historical scholarship on neoliberalism to reorient itself. Previous accounts of neoliberalism proved inadequate to theorize the hegemonic crisis that neoliberalism has been thrust into, prematurely rushing to declare neoliberalism dead. The task is to offer an interpretation of resurgent nationalism that can account for points of tension with hegemonic neoliberalism without underestimating the ways it lives on in the present. This essay critically reviews three books that offer distinct interpretations of neoliberalism's enduring hegemonic crisis. If Melinda Cooper and Tehila Sasson's respective works provide new critical perspectives on the history and present of neoliberal ideas, Jennifer Burns's study offers an insider's perspective on the pressures that neoliberalism is under from the nationalist right.

The critical study of neoliberal ideology is a comparatively recent development. As historian Ben Jackson has observed, in anglophone academia the systematic study of neoliberal ideas did not take off until the late 2000s, when the global financial crisis coincided with the publication in English of Michel Foucault's *Birth of Biopolitics* lectures and a handful of other groundbreaking interventions.¹ Before this moment, the history of neoliberal thought was little studied and poorly understood. Scrambling to fill this knowledge gap, for about a decade much critical work was focused on reconstructing the core principles of the neoliberal tradition; its key agents, institutions, and networks; its various subdivisions and schools; and its political and ideological

¹Ben Jackson, "Putting Neoliberalism in Its Place," *Modern Intellectual History* 19/3 (2022), 982–95; Michel Foucault, *The Birth of Biopolitics: Lectures at the Collège de France, 1978–1979* (2004), ed. M. Senellart, trans. G. Burchell (Basingstoke, 2008); Dieter Plehwe and Philip Mirowski (eds.), *The Road from Mont Pèlerin: The Making of the Neoliberal Thought Collective* (Cambridge, MA, 2009).

impact.² This work was predominantly sociological and historical in orientation, understanding neoliberalism both as a tradition of thought and as the tangle of think tanks, networks, and institutions—or “thought collective,” as the literature has it—that have long been devoted to its elaboration and dissemination.³

Though this body of scholarship did much to enrich our understanding of neoliberalism’s history, it had a few analytical blind spots. One was that it tended to emphasize neoliberal economic theory over its other dimensions. Thus much early work on neoliberalism understood it as a predominantly economic ideology that filters all aspects of human life through the lens of market competition in its pursuit of rolling out entrepreneurial logics across all domains of life.⁴ But beyond these issues it has little to say: themes of race, gender, family life, and many others are of marginal concern to neoliberal reason and, as such, also fall outside its critics’ scope.

The limits of this perspective came into sharp relief a decade ago, when nationalist fervour made its triumphant return in the advanced capitalist world. The Brexit vote in the United Kingdom, the election of Donald Trump in the United States, and the increasing popularity of far-right parties and movements throughout Europe and beyond appeared to signal a decisive historical shift. To the predominant interpretation of neoliberalism, which associated it primarily with unfettered capitalism and the pursuit of globalization, resurgent nationalism could only mean that the neoliberal era was coming to a close. Although the new struggled to be born, the old was, in the eyes of many, unquestionably dying.⁵

This interpretation has rightly been subject to challenge. Neoliberalism is neither dead nor dying but mutating, as one excellent volume put it.⁶ Yet this does not mean that neoliberalism remains as secure in its hegemony as it was before the global financial recession. If it has survived successive crises, both economic and ideological, it has not done so unscathed. For some time now, neoliberalism has faced a profound hegemonic crisis in which the commonsense appeal it once had, at least in some electoral corners, has notably waned. For at least a decade now, this hegemonic crisis has defined the terrain on which much research on neoliberalism operates. Scholars have been in search of an analytical perspective that is adequate to our present conjuncture. The task is to offer an interpretation of resurgent nationalism that can account for points of tension with previous articulations of neoliberal politics without prematurely declaring neoliberalism dead.

There is, however, another historiographical tradition that has had to adjust its analytical perspective in the face of current political trends: that assembled

²For important contributions see Angus Burgin, *The Great Persuasion: Reinventing Free Markets since the Depression* (Cambridge, MA, 2012); Daniel Stedman Jones, *Masters of the Universe: Hayek, Friedman, and the Birth of Neoliberal Politics* (Princeton, 2012).

³Plehwe and Mirowski, *The Road from Mont Pèlerin*.

⁴Jessica Whyte offers a thoughtful discussion of this tendency in *The Morals of the Market: Human Rights and the Rise of Neoliberalism* (London, 2019).

⁵Nancy Fraser, *The Old Is Dying and the New Cannot Be Born: From Progressive Neoliberalism to Trump and Beyond* (London, 2019).

⁶William Callison and Zachary Manfredi (eds.), *Mutant Neoliberalism: Market Rule and Political Rupture* (New York, 2020). For a similar perspective see Dieter Plehwe, Quinn Slobodian, and Philip Mirowski (eds.), *Nine Lives of Neoliberalism* (London, 2020).

by neoliberalism's present-day defenders. Indeed, neoliberal ideas continue to be researched, celebrated, and reproduced by the many hundreds of free-market think tanks that have long formed the linchpin of the neoliberal intellectual movement. Much of this work is historical in orientation, practicing a form of autohistoriography through which the neoliberal movement narrates its own intellectual history. In recent years, this insider literature has come to develop a distinct interpretation of the causes and logics of nationalist reaction and, in particular, its likely implications for neoliberalism's continued influence.

The three books under review here sit squarely within these debates. When read alongside each other, they make for an insightful guide to how its historians are thinking through neoliberalism's hegemonic crisis from the outside and from the inside.

Theorizing neoliberalism's crisis

If many early critiques were guilty of economism, predominantly viewing neoliberalism as a philosophy of free markets, one scholar who cracked this narrative wide open is Melinda Cooper, whose 2017 book *Family Values: Between Neoliberalism and the New Social Conservatism* was a tour de force. Focusing on the sometimes uneasy alliance between neoliberal ideology and patriarchal conservatism in the United States, Cooper argued that neoliberalism always had a social and cultural agenda structured around family life, as well as an economic one. She showed that for neoliberals, not the welfare state but the patriarchal heteronormative family unit should be the central pillar of social, moral, and civic life. On this theme, neoliberals were able to forge an alliance with social conservatives and form a united front against those campaigning for equal rights in gender, racial, and labour relations. *Family Values* painted a powerful portrait of neoliberalism that emphasized less its singularity than its proximity, on many key issues, to social conservatism and that drew attention to its ability to forge strategic alliances with other formations of the right. Although it did not address the first Trump administration systematically, the book came at an auspicious time to help make sense of the synthesis between muscular capitalism and the patriarchal conservatism it represented.

Cooper's latest book, *Counterrevolution: Extravagance and Austerity in Public Finance*, takes this analysis further still. While at its core an intellectual history of two branches of neoliberal thought, Virginia school theory and supply-side economics, *Counterrevolution* is a highly ambitious book that seeks to reevaluate the last fifty years of American statecraft. The central mystery that Cooper seems to want to solve is what system could have produced the phenomenon of Trumpism, understood both as a corporate dynasty and as a broad and successful electoral coalition. Cooper's claim is that the answer needs to be sought in what she terms "neoliberal fiscalism"; that is, the way neoliberal political economy has reconfigured the fiscal state.

If *Counterrevolution* makes one central argument, it is this: in the United States neoliberal political economy involved a two-pronged approach to public spending. While aggressively eroding the welfare state and social security through spending cuts, neoliberalism sought to check flagging returns on capital by inflating asset prizes, primarily through lavish tax expenditure in the form of tax cuts and incentives. These

tax cuts, for Cooper, constitute a form of “*indirect* government spending that escapes the naked eye” and that, over the course of the neoliberal period, sired “a shadow welfare state” that has overwhelmingly benefited the capital- and asset-rich while leaving working people to pay for it (17, original emphasis).

Public finance, then, constituted the privileged object of the neoliberal counter-revolution. Asset price inflation was its answer to the mid-century crisis of capital accumulation. The implications were felt in every aspect of American society. In class terms, decades of regressive wealth redistribution not only worsened the poverty experienced at the bottom of the class system but, at the top, produced a generation of billionaires whose wealth was starkly inflated through tax expenditures and who “could only ever *fail up*, safe in the knowledge that any act of excessive risk taking” would be bailed out by the neoliberal state (83, original emphasis). Amongst the wider public, meanwhile, shrinking public spending, coupled with falling wages at the hands of capital flight and the demobilization of the labour force, created widespread resentment and anger. Instead of channeling this anger into a constructive alternative to neoliberalism, however, American liberalism chained itself to the mast of fiscal restraint, promising little more than austerity more equitably inflicted. By contrast, the neoliberal movement, allied to social conservatism, capitalized on popular rage by narrating the shrinking of public expenditure as the cost of gains made by progressive causes such as campaigns for gender and racial equality.

Neoliberal fiscalism invited property-owning white voters in particular to understand themselves less as wage earners than as asset owners who stood to gain not from public expenditure but from tax cuts. This kindled a series of tax revolts, both local and federal, in which the electorate showed a seemingly unquenchable thirst for a low-tax economy. Here Cooper develops, in essence, a wages-of-whiteness argument applied to the asset form.⁷ Her claim is that electoral support for the tax revolts of the late 1970s and early 1980s was fueled less by fiscal considerations than by the racial resentment of white voters seeking to protect their racial privilege above all else. This history, for Cooper, contains a crucial lesson about neoliberalism’s relation to democracy. Far from being unilaterally undemocratic, as is often argued,⁸ at key stages of its hegemonic ascendancy neoliberalism has been able to mobilize widespread populist support for its fiscal agenda:

The undeniably popular success of the tax revolt seems to suggest the rather more troubling conclusion that the long-standing racial divide between whites and Blacks was so potent that it was able to convince a good portion of the white working and middle classes to vote against public spending *in general*, and hence against their own apparent interests as recipients of public services, in order to disenfranchise Blacks *in particular*. (222–3, original emphasis)

⁷David Roediger, *The Wages of Whiteness: Race and the Making of the American Working Class* (London, 1991).

⁸This argument is forcefully developed in Wendy Brown, *Undoing the Demos: Neoliberalism’s Stealth Revolution* (New York, 2015).

White voters, she is saying, chose to burn the welfare state down rather than share it with black Americans. Though it has liked to masquerade as an economic theory, neoliberalism secured its first victories on the terrain of race relations.

Cooper argues that these tax revolts took their ideological bearings from a corpus of ideas assembled by neoliberals of the Virginia school. Thinkers like James M. Buchanan and Gordon Tullock did much to elaborate the theoretical basis of neoliberal fiscalism, offering both a robust philosophical defence of tax and public spending limits and a constitutional theory that advocated supermajority requirements for any fiscal reforms, thus enshrining low taxation at the constitutional level. As Cooper argues, however, the intellectual history of this philosophy is much darker than is often realized. She contends that Buchanan's work in particular was closely aligned to a generation of southern Democrats who worked tirelessly to protect the racial privileges of white populations in the American South. Focusing on Buchanan's intellectual affinity to Harry Flood Byrd Sr, a Virginia senator who devoted his life to defending fiscal conservatism in the name of states' rights, Cooper shows that the social and historical stakes of Virginia school constitutionalism were decisively shaped by southern resistance to the campaign for racial equality and civil rights:

In the wake of the Voting Rights Act of 1965, Buchanan shifted his attention to the fiscal terrain, intent on discovering budget rules that would permanently strangle the power of formal voting rights to redistribute economic wealth. He was thus able to give new life to the counter-majoritarian politics of southern Democrats while plausibly denying any intent to disenfranchise African Americans and the poor. (299)

If the tax revolts of the 1970s and 1980s were shot through with racial logics as much as fiscal ones, this was because the jealous defence of racial privilege was woven into their justification from the start.

Virginia school theory comprises only one strand of neoliberal fiscalism, however. The other intellectual tradition unpicked in *Counterrevolution* is supply-side economics. Unlike Buchanan's constitutional economics, supply-side theory has received sparing attention from scholars of neoliberalism, likely because of its reputation as intellectually shallow. Typically associated with influential conservative populists and pundits like Arthur Laffer (of "Laffer curve" fame), Jude Wanniski, and Jack Kemp, supply-side theory advocates tax cuts on the ground that they stimulate investment, increase the circulation of capital, and thus spur further growth. The supply-side movement also boasted several more serious economic theorists, however, like Martin Feldstein and William E. Simon, whose work developed a more theoretically sophisticated defence of a low-taxation economy. Cooper parses this distinction as a split between "populist" and "elite" supply-side economics (34), two approaches that were not always fully aligned but whose combined efforts ended up fundamentally reshaping the American fiscal state.

As Cooper observes, Virginia school neoliberalism and supply-side economics are by no means straightforwardly compatible. If the former emphasizes limits to public spending and advocates permanent fiscal austerity, the latter saw no reason to fund tax cuts through spending restraints and supported government largesse so long as it was targeted at capital appreciation. That the neoliberal agenda ended up taking the shape

it did, coupling permanent austerity for the public with near boundless largesse for the asset-owning classes, was a matter of historical accident. The neoliberal counterrevolution was the product of a strategic alliance between neoliberal constitutionalists and supply-siders, who “found an uneasy point of convergence around the need to contain *certain kinds* of public spending” (22, original emphasis).

Though its intellectual origins trace back to the tradition’s more conservative branches, neoliberal fiscalism is by no means the exclusive preserve of the right. One of Cooper’s key arguments is that the two central logics of neoliberal fiscalism, austerity for the people and generous support for capital, have found expression in American electoral politics, facilitated by the country’s two-party system. While the GOP has become the party of the shadow welfare state and is now nakedly a vehicle for the billionaire class, the Democratic Party has committed itself to fiscal conservatism, establishing spending restraint as at once the horizon and limit of its policy platform. The consequences have been dire. Its principled commitment to fiscal austerity has made Democratic policy electorally unpopular and economically ineffective, the willing handmaiden to a project of upward wealth redistribution and social abandonment. This, in turn, has fueled popular resentment, which MAGA Republicans have been much more effective at exploiting than centrist Democrats.

Counterrevolution contains a forceful analysis of neoliberalism’s ongoing hegemonic crisis. Cooper emphasizes neoliberalism’s unique ability not just to adapt itself to shifting historical contexts, but also to take political advantage of the disarray its own economics produces. If neoliberal political economy destabilizes the social order, its racial politics is able to funnel the resulting popular resentment into moral panics and exclusionary scapegoating. Much like the billionaire class it subsidized through lavish tax expenditure, neoliberal politics has managed systematically to fail upwards, leveraging the fallout from its own regressive economic program to further entrench itself socially and electorally. Once this is understood, the resurgence of a resentful, racially exclusionary nationalism comes to appear less as a sudden break from, and more as an intensification of, the logics that have always defined neoliberal hegemony. Indeed, as Cooper already argued in *Family Values*, we cannot understand neoliberalism’s history without accounting for the various alliances that the neoliberal movement entered into in its pursuit of hegemony.

On this issue in particular there exists a firm parallel with Tehila Sasson’s excellent book *The Solidarity Economy: Nonprofits and the Making of Neoliberalism after Empire*. Like Cooper, Sasson stages a move away from overly simplistic accounts of neoliberalism’s rise to hegemony that privilege the ideas of a select set of thinkers. For her, the political economy we know as neoliberalism is not just a product of conservative ideology. On the contrary, some of its key concepts and thematics, including entrepreneurship, ethical capitalism, antistatism and decentralization, were elaborated not just by thinkers of the right but by mid-century socialists who had become disillusioned with the Keynesian state. Focusing on the postwar British nonprofit sector, *The Solidarity Economy* traces how the ideas and practices it spawned closely meshed with neoliberal ideas. Much like their neoliberal contemporaries, the protagonists of the nonprofit sector

saw the state, not the marketplace, as morally vacant. As a result, they sought to overturn the nation-state as the primary organizer of economic life and instead hoped to foster decentralized market participation by directly connecting consumers, producers, and the global community. They advocated for individualism, entrepreneurship, and privatization of aid and welfare in the name of a more humane form of capitalism. (5)

Sasson's analysis focuses on a string of British left-wing thinkers, including E. F. Schumacher, Michael Young, Richard Titmuss, and Dudley Seers, as well as on the ideas and practices of some of the key actors within the nonprofit sector, such as Cecil Jackson-Cole, Joe Mitty, and Julia Porter. What united these disparate actors was a search for an ethical form of capitalism, one that would resist both the dehumanizing thrust of capital accumulation and the totalizing tendencies of the state in favour of "decentralized, nongovernmental, community-based activism and development" (50). Theirs would be a capitalism with a human face, an economy powered by mutual aid rather than greed.

Crucial to Sasson's story is that the solidarity economy emerged from the ruins of the British Empire. Not only was the search for an ethical capitalism a way for the British to find "a new moral role in the world after empire as a nation of do-gooders" (14), but, more concretely, a large segment of the nonprofit sector was made up of former colonial officials. This was true of key figures like Mitty (59) and Porter (161), both of whom were previously stationed in the empire, but it also applied to many in its rank-and-file workforce. As Britain's imperial reach declined after the Second World War, its former administrators and officials were in need of new career paths. "With their knowledge of and emotional ties to the former colonial territories, these ex-colonial experts were ideal candidates for the expanding aid sector in the 1960s" (77). What these former colonial officials brought to the fledgling nonprofit sector was not just long-standing connections and networks but also a distinct mindset, a firm belief in the civilizing thrust of Western intervention in global South economies.

Though it originated in postcolonial contexts, however, the solidarity economy did not stay there. Like so many of the tools in the neoliberal repertoire, the techniques and strategies that nonprofit workers first inflicted upon the developing world eventually made their way into the former metropole. Such policy techniques as microcredit and enterprise schemes, which were initially trialled in developing countries by Oxfam workers, were later embraced by the New Labour government in a bid to rationalize domestic unemployment benefits:

What began as an emancipatory model to help Third World producers in turn came to shape racialized and neoliberal forms of welfare provision in Britain and the United States. On both sides of the Atlantic, this financialized model of aid was embraced by Third Way neo-liberals, who saw in it an approach capable of shifting the burden of poverty onto the poor—and especially ethnic minorities—themselves. (217)

If, in Britain especially, neoliberalism arrived by way of the colonial boomerang,⁹ the solidarity economy was a key domain through which it arced.

Though always attentive to the decisive role played by ideas, *The Solidarity Economy* routinely moves beyond the remit of intellectual history. The book's key focus is how the nonprofit sector took shape after the Second World War and the place it carved out for itself in British society. To reconstruct this history, Sasson traces some of the key ideas that formed its foundations (Chapter 1) before documenting the way the charity shop became a signature feature of the British retail landscape (Chapter 2), how the concept of fair trade emerged and was sold to the British public (Chapter 3), how development NGOs framed the problem of food inequality in a post-imperial world (Chapter 4), the origins of the corporate social-responsibility agenda (Chapter 5), and humanitarian aid programmes and microcredit schemes (Chapter 6). In mapping out this history, she pays as much attention to books and ideas as to a more disparate archive of cultural and corporate texts like advertising campaigns, employee guidelines, corporate audits, and codes of conduct. This makes for an exciting methodological intervention in the historiography of neoliberalism. While well versed in the sociology of knowledge, particularly in studying neoliberal think tanks, publishing presses, and funding streams, this literature has largely overlooked the retail and NGO sectors and has paid little heed to such texts as advertising campaigns or audit papers.

The Solidarity Economy joins studies by Johanna Bockman and Amy Offner in offering a much-needed corrective to the critical scholarship on neoliberalism,¹⁰ which remains predominantly focused on the ideas of writers and activists who belonged to the neoliberal tradition in the strict sense. There is little awareness of the key role played by a wide variety of other intellectuals and agents, including progressives, in elaborating many of the policies, techniques, and concepts we now recognize as central to neoliberal statecraft. Sasson's bid to widen the aperture on neoliberalism's history by tracing out its shadow genealogy is valuable because "what we might consider part of a conservative neoliberal project was instead part of a broader culture of capitalism of the late twentieth century, a fact that helps explain the extensive adoption of market ideologies" (214).

This notion of a culture of capitalism should not be read too literally: Sasson is not implying that there was something inevitable about neoliberalism's rise or that this culture was disconnected from the material conditions in which it emerged. Neither is it her intention to downplay the importance of the neoliberalisms of the right. Rather, hers is a clear-eyed critique of the gullible liberalism of which New Labour was the poster child and which is very much still with us. As she shows, the centrist surrender to neoliberalism was neither unprecedented nor atypical. It followed a logic that had been working itself through the British left for decades, a segment of which surrendered itself to capitalist realism as a way to reconcile the progressive desire to improve the world with the perceived shortcomings of the late modern centralized state.

⁹Kojo Koram, *Uncommon Wealth: Britain and the Aftermath of Empire* (London, 2022).

¹⁰Johanna Bockman, *Markets in the Name of Socialism: The Left-Wing Origins of Neoliberalism* (Stanford, 2011); Amy C. Offner, *Sorting Out the Mixed Economy: The Rise and Fall of Welfare and Developmental States in the Americas* (Princeton, 2019).

For this reason, Sasson's *The Solidarity Economy* is best read alongside Cooper's *Counterrevolution*. If the former tells the story of progressive complicity in neoliberalism's hegemony, the latter accounts for its position within the broader landscape of the conservative right. Read together, they sketch a rich portrait of the dialectic between gullible and reactionary neoliberalism that continues to shape the present conjuncture.

Neoliberalism theorizing its crisis

Neoliberalism has always been marked by strong ideological consciousness. From its emergence in the interwar period onward, the neoliberal movement considered itself the front guard in a war of ideas. The actions of first-generation neoliberals like Friedrich Hayek and Milton Friedman were guided by a philosophy of intellectual influence that, in effect, called for a counterhegemonic project targeted at ruling-class opinion. However, the shape and texture of its ideological consciousness have changed over time. If for much of its early history it sought to challenge existing orthodoxies and gain a foothold within the ruling class, after it became hegemonic in the 1980s it transformed from an altogether marginal heterodoxy into the ruling ideology. This also changed how neoliberalism's advocates were intellectually positioned: their role was no longer to challenge prevailing ideas but to defend them. What might be termed latter-day neoliberalism was positioned as a defensive ideology.

One part of this was a systematic effort to map out its own intellectual history. Partly to bolster its legitimacy as a philosophy of government and partly to honour its intellectual forebears, latter-day neoliberalism drew up its own genealogy. A new subgenre of neoliberal thought emerged that told the history of neoliberal ideas, writers, think tanks, networks, and policy victories from the vantage point of hegemony. The resulting autohistoriography is of varying quality. Though it includes plenty of superficial primers that in purpose and tone range from the merely celebratory to the positively hagiographic,¹¹ these sit alongside more rigorous scholarly studies. Examples of the latter would include Max Hartwell's 1995 book on the intellectual history of the Mont Pèlerin Society and Bruce Caldwell's intellectual biographies of Hayek, studies that are rich in detail and insight, the fruit of direct access to relevant networks, archives, and correspondence as well as financial and intellectual support from the neoliberal think tank industry.¹²

Jennifer Burns's accomplished new biography, *Milton Friedman: The Last Conservative*, sits squarely within this tradition. As noted in the book's acknowledgments, her research received material and intellectual support from the Hoover Institution (550), where Burns is a research fellow—a position Friedman also occupied for several decades.¹³ She presented an early snapshot of the book at the 2020

¹¹ An illustrative recent example is Eamonn Butler, *Scaling the Heights: Thought Leadership, Liberal Values and the History of the Mont Pèlerin Society* (London, 2022).

¹² R. M. Hartwell, *A History of the Mont Pèlerin Society* (Indianapolis, 1995); Bruce Caldwell, *Hayek's Challenge: An Intellectual Biography of F. A. Hayek* (Chicago, 2004); Bruce Caldwell and Hansjoerg Kalsinger, *Hayek: A Life, 1899–1950* (Chicago, 2022).

¹³ Burns's first biographical study, dedicated to Ayn Rand, was also supported by the Hoover Institution. See Jennifer Burns, *Goddess of the Market: Ayn Rand and the American Right* (Oxford, 2009), 288.

Mont Pèlerin Society conference, which was hosted at Hoover. Burns even uses the term “neoliberalism” to describe the political economy she favours.¹⁴

Faithful to one of latter-day neoliberalism’s key impulses, *Milton Friedman* is a strikingly defensive study. As she explains, Burns wrote the book because she was concerned that Friedman’s reputation was under mounting pressure from both sides of the political spectrum. On the left, Friedman has become a regular punching bag for critics of contemporary capitalism. Though she mentions it (6), Burns does not engage critical scholarship on neoliberalism in any detail, instead caricaturing it as a “conspiracy” theory in which “Friedman appears close to an evil genius” (10). On the right, meanwhile, resurgent nationalism of the Trumpist variety has crowded out Friedman’s free-trade philosophy. This meant that even within the conservative movement, “there was no place for Friedman’s ideas anymore” (9). By revisiting Friedman’s career and works, Burns hopes, this trend may be reversed and his ideas restored to the prominence they merit.

Burns’s chief focus is on Friedman’s economic ideas, speaking to themes like money, central banks, taxation, and, above all, inflation. Here her grasp is authoritative: she is able to describe complex ideas in accessible prose and trace their development over the course of his career. However, she does not lose sight of Friedman the person and pays close attention to his private life, friendships and rivalries, and travels. Her portrait is much enriched by her access to a number of relevant archival collections, most notably a private collection held within the Friedman family that contains private correspondence, lecture notes, typescripts and draft works, and much else besides.

More than recounting its subject’s life and career, *Milton Friedman* makes a number of striking arguments. Burns foregrounds the important role a handful of women have played in Friedman’s personal and intellectual biography. This is obviously true of Rose Friedman, his wife, confidant, and frequent coauthor who, among other things, compiled the manuscript for what was to become *Capitalism and Freedom* out of loose essays and papers (251). But it is no less true of Anna Schwartz, coauthor of Friedman’s *A Monetary History of the United States*; Margaret Reid; and Dorothy Brady, each of whom decisively influenced his thinking (Chapter 8). Here Burns’s account is subtle. While she emphasizes that Friedman’s recognition of their brilliance set him apart from many of his contemporaries, who would pay women scholars little heed or even actively obstruct their careers, Burns does not fail to observe that his gender politics had its limits. On more than one occasion Friedman presented himself as the sole author of ideas that were in truth the product of close collaboration with Rose Friedman, Reid, and Brady. The most high-profile example of this is his 1957 book *A Theory of the Consumption Function*, which, though published under his name alone, was the outcome out of a joint project with all three women (225–6).

Another theme Burns foregrounds in striking fashion is that of civil rights. She notes that Friedman saw his influential proposal for school vouchers as a solution to the

¹⁴See Jennifer Burns, “How Inflation Ended Neoliberalism—and Re-elected Trump,” *Wall Street Journal*,

15 Nov. 2024, at www.wsj.com/opinion/how-inflation-ended-neoliberalism-history-policy-economics-politics-elections-79a053a4.

problems posed by school desegregation in the American South following the 1954 ruling in *Brown v. Board of Education*. By giving parents direct control over school choice, his argument went, vouchers would facilitate a mixed system where integrated schools could coexist alongside all-white schools, functioning, in Friedman's words, as a "third alternative" to the twin evils of "enforced segregation or enforced integration" (264). Not long after he first floated this idea in 1955, several southern states reached for school vouchers precisely as a tool to resist desegregation, drawing directly on Friedman's ideas "in order to mask segregationist intent" (264). Crucially, however, this was not just a case of his work being co-opted by a reactionary agenda. Rather, as Burns argues, Friedman was himself intensely wary of civil rights legislation. In the mid-1960s he became a vocal supporter of Barry Goldwater's presidential campaign despite its unsavoury position on civil rights. Friedman even went so far as to denounce the 1964 Civil Rights Act as not just undemocratic but opposed to the very principle of individual liberty, which, because it forbids government interference in private affairs, must extend to the right to discriminate (270). Burns does not pull her punches on this theme. In her eyes, Friedman's views on civil rights and segregation amounted to "an apologia for racism" (269), while his collaboration with Goldwater signalled an uncomfortable "alliance between libertarian economics and reactionary populism" (274).

However, Burns's sensitive discussion of civil rights stands in stark contrast to her treatment of Friedman's relation to Augusto Pinochet's Chilean dictatorship. As is well known, Pinochet's violent regime relied heavily on Chicago school ideas to justify the economic shock therapy it inflicted on the country from the late 1970s onwards.¹⁵ During this period Friedman regularly traveled to Chile and even met with Pinochet himself (352). He advocated shock treatment to end high inflation by slashing government spending. Back home in the US, his relation to the Chilean dictator was met with fierce criticism, with high-profile authors, major newspapers, and organized protests all portraying Friedman as a Pinochet stooge who was complicit in the regime's repression and violence (370 ff.).

If her discussion of civil rights is careful and sensitive, Burns's assessment of the Chilean episode is strikingly coarse by comparison. Uncritically reproducing Friedman's own interpretation of his critics as liberal McCarthyites,¹⁶ Burns characterizes them as so many "hysterical" Marxists hell-bent on ruining his career (373). She writes that the kickback he received "was the result of a highly motivated and organized network, a sort of pre-Twitter mob of the global left, seizing upon a celebrity to gain greater visibility" (376–7). In her interpretation, his critics targeted Friedman with such ferocity as a way of sublimating the failure of Marxist economics to deliver growth. "It was an Orwellian mind trick of sorts, impugning capitalism for the very sins that were so deeply embedded in the Communist project" (377). These passages make for uncomfortable reading. Especially following her sensitive discussion of questions of gender and race, it is hard to escape the feeling that her treatment of

¹⁵The defining study on this subject remains Naomi Klein, *The Shock Doctrine: The Rise of Disaster Capitalism* (New York, 2007).

¹⁶For his most detailed account see Milton Friedman and Rose Friedman, *Two Lucky People: Memoirs* (Chicago, 1998), Ch. 24. The term "liberal McCarthyism" is his.

the Chilean episode serves chiefly to provide ideological cover for Friedman's support for the Pinochet regime and downplay its violent rule. Her guns are trained on Friedman's critics, but amidst the florid broadsides any nuanced analysis of the Chilean case is lost.

Putting politics aside, a serious theoretical problem haunts her discussion of the Chilean question. Burns's defence of Friedman rests on the notion that "he played almost no role in policy design" in Chile (372). To accuse him of complicity is to unfairly ascribe to him influence he did not have. Yet this flies in the face of the key theoretical premise of her work, which is that ideas have the capacity to shape the world indirectly as well as directly. Indeed, following a well-established neoliberal fashion, Burns picked the famous John Maynard Keynes quote that "the world is ruled by little else" as the volume's epigraph (vii). This precept does not align with her assessment of the Chilean episode, however. Either ideas matter, in which case Friedman's impact on Chilean economic policy, both direct and indirect, was unquestionably significant, or they do not, in which case her book's overall argument loses much of its lustre.

Milton Friedman can be read in two ways. Read as a scholarly study, it is an accomplished intellectual biography of a leading conservative neoliberal thinker. Students of conservative and neoliberal ideas will likely find it an insightful resource, regardless of their political persuasion. It is for the most part a thoughtful and balanced reconstruction of Friedman's economic philosophy that also contains many rich anecdotes and vignettes.

Read symptomatically, however, the book offers a revealing insight into how neoliberalism's enduring hegemonic crisis is interpreted by some of its latter-day defenders. To Burns, the rise of the nationalist right signals the waning of Friedman's influence and augurs, as she put it in a recent piece, a "final break from neoliberalism."¹⁷ Here Burns channels a version of contemporary neoliberalism that perceives its own ideology to be in a profound hegemonic crisis. Its project has become one of damage control, of intellectual salvage, intent on refuting the many critiques of neoliberal thought that have accumulated in recent times. Crucially, this narrative positions Trumpism as an outside belligerent of the neoliberal order, a nationalist project that in intellectual terms is fundamentally at odds with neoliberalism's first principles. This is not, of course, the only strand of contemporary neoliberalism. There are also plenty of prominent voices within the movement, including, for instance, Victor Davis Hansen, Burns's own colleague at the Hoover Institution, who have happily joined the Trump project.¹⁸ There are signs that the question of Trumpism may well become a key fracture line within the contemporary neoliberal movement.

On the question of hegemonic crisis, however, defensive neoliberalism leaves much to be desired. As an analysis of the present conjuncture it contains many gaps and blind spots, key being its inability to see resurgent nationalism as a more or less organic outgrowth of the neoliberal project. Burns's perspective all but forecloses the hypothesis that there exists much in the way of continuity between hegemonic neoliberalism and the Trumpist moment. This is, in some ways, surprising. After all, her analysis of

¹⁷Burns, "How Inflation Ended Neoliberalism."

¹⁸Victor Davis Hanson, *The Case for Trump* (2019), revised edn (New York, 2024).

Friedman's alignment with the reactionary populism of the Goldwater campaign would make for a forceful parallel with present dynamics: in both cases, the alliance between free-market libertarianism and resentful reaction is forged on the terrain of race, which marks a point of convergence in both theory and practice. The root problem is that to Burns his regressive racial politics constituted not an organizing principle of Friedman's philosophy, but a point of inconsistency within it. This prevents her from seeing that neoliberalism has always been racialized, grew out of and reproduced colonial logics, and, for these reasons, has proved an organic ally to exclusionary nationalism, today as in the past.

For an insightful analysis of the present conjuncture, Cooper and Sasson are better companions. Where Burns brings up Friedman's questionable racial politics only to downplay their relevance to the present, Cooper and Sasson's respective analyses foreground the racial and colonial dimensions of the neoliberal project. Combined with their sensitive account of neoliberalism's predisposition to strategic alliance and ideological adaptation and its ability to capitalize on material, social, and hegemonic crises of its own making, theirs are indispensable resources for making sense of our dark times.